

## US-Iran standoff will drag on

送信者: EG Middle East & North Africa 受信日時: 2026-08-18 03:59

### 【メール原文】

Both sides will dig in for a longer standoff . Neither side sees an urgent need to make concessions. A deal in September is now unlikely (see: De-esca|||||||||)

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US-Iran standoff will drag on as urgency for a deal falls

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The current standoff will likely produce a limited deal that partially reopens the Strait of Hormuz before the end of the year (55% odds), while the risk of escalation remains significant (25%) and a standoff that drags on indefinitely remains less likely (20%).

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With oil prices at an elevated but manageable level, US President Donald Trump has reverted to “maximum pressure,” hoping that sanctions and a naval blockade will force Iran to capitulate.

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Yet Iran is unlikely to yield, despite its worsening economic outlook, and will continue to push for a deal that recognizes its control of the strait and includes additional financial incentives.

Both sides will dig in for a longer standoff. Neither side sees an urgent need to make concessions. A deal in September is now unlikely (see: De-escalation likely as US leans toward temporary fix to open strait , 4 August 2026).

The US has backed away from escalatory options; while Iran may have an incentive to escalate, it is more likely to continue its current strategy and wait for economic and political pressures to force the US into making concessions.

In light of these developments, Eurasia Group is adjusting its scenarios. The timeline has moved to the end of 2026. The most likely scenario is one of a standoff that produces a limited deal permitting Hormuz traffic to partially recover (55%). It is possible, though less likely, that the standoff drags on in its current form for the rest of the year (20%). The risk of significant escalation remains heightened (25%).

The US will try pressure to force a deal on the strait. After weeks of considering major military escalation, Trump has moved toward a policy that mirrors the approach before the war: “maximum pressure” from sanctions and the US blockade of Iranian oil exports, designed to force Iranian concessions. Comments from officials including Treasury Secretary Scott Bessent, Secretary of Defense Pete Hegseth, and Energy Secretary Chris Wright suggest the US views the conflict as a slow-burning war of attrition, rather than a crisis requiring immediate action (either through a deal or escalation).

Lack of urgency from oil prices and midterms enables this approach. Reverting to a pressure campaign is feasible, given the current (albeit partial) success at moving oil out of the Strait of Hormuz, which has helped keep oil prices from spiking to \$100 per barrel for Brent (see: Oil prices will fall even if Hormuz traffic only partially recovers , 13 August 2026). While worldwide oil inventories continue to decline, the global economy's apparent success in adapting to the strait's closure suggests the US can afford to wait.

Moreover, Trump's relative indifference to the fate of many Republican incumbents in the midterm elections means there is little urgency to reach a deal with Iran before November, especially if the deal is perceived as overly favorable to Iran.

Despite its economic woes, Iran likely won't cave. Iran faces its worst economic crisis since the 1980s: falling economic output, high unemployment, inflation above 75%, a depreciating currency, shortages of goods (including gasoline), and an inability to export oil. These data points are likely contributing to the US conviction that more pressure—and time—will force the Iranians to back down and cut a deal that favors the US.

The Islamic Republic remains, as ever, very resistant to pressure and will prioritize resilience. While the worsening economic conditions present an increased risk of protests, the regime remains ready—as it was in January—to suppress them with lethal force.

There is scope for Iran to escalate aggressively. It could launch unprovoked attacks on US bases and ships, as well as vulnerable targets in the Gulf states, to force the US into a deal that recognizes Iran's control of the strait. Such a move would prompt US retaliation against Iran, despite Trump's reluctance to ramp up hostilities. Recent comments from Iran's military leadership suggest a shift from a defensive to an offensive stance.

While Iran's leadership remains aggressive and risk-acceptant, its strategy is likely to remain attritional—Tehran is confident that Trump will be forced by growing pressure to consent to a deal that favors Iran.

A deal on Hormuz will deliver only partial relief. Even if the US and Iran both see scope to drag out their confrontation in the near term, neither side can afford to do so indefinitely. Elevated gasoline prices and mounting war fatigue will push Trump toward an offramp. While defiant, Iran's leaders are cognizant that the country's economic crisis will only worsen as long as the war drags on and the US maintains its blockade. There remains space for a compromise that allows Iran to resume oil exports while reopening Hormuz on an interim basis; this will require the US to acknowledge Iran's joint control of Hormuz with Oman (see: De-escalation likely as US leans toward temporary fix to open strait , 4 August 2026).

Such a compromise is likely by the end of the year, though it will not bring more durable de-escalation. Any recovery in Hormuz flows will be partial (see: Oil prices will fall even if Hormuz traffic only partially recovers , 13 August 2026), and the US and Iran will remain in a state of simmering hostilities, with a heightened risk of another flare-up that disrupts traffic.

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